UNIT 2

In-house lawyers

This unit looks at how in-house corporate lawyers are nowadays called upon to use more than purely legal skills.

BEFORE YOU READ

Discuss these questions.

1 How do you become an in-house lawyer in your country? Why might a lawyer prefer to work in a company, rather than in a firm of lawyers?

2 What factors might influence a company in the decision to have its own in-house legal team?

3 Corporate social responsibility (CSR) concerns the way a company carries out its business – for example, it might be taking part in a social programme that benefits the community. What other 'socially responsible' activities do you think a company might involve itself in?

READING

A Understanding the main points

Read the article on the opposite page and answer these questions.

1 Why are company lawyers being asked to take a broader role in the companies they work for?

2 Who favours corporate lawyers taking a wider role, and who believes lawyers may not be the right people to make CSR decisions?

3 Which areas of business are represented in the article?

B Understanding details

Read the article again and answer these questions.

1 At the end of paragraph A, Ms Karp says, 'I haven't had to do that for several years.' What is she talking about?

2 Which two examples are given to illustrate how corporate liability is becoming more extensive?

3 Mr Rudolph says lawyers can be strategic-thought leaders. What is the result of their having this skill?

4 What were the findings of the research carried out by CMS Cameron McKenna?

5 What is the job of the in-house lawyer in relation to outside suppliers?

6 Which areas of risk management are some in-house lawyers becoming involved in?

7 What is Bill Carr's argument against in-house lawyers being involved in CSR issues?

8 What is Elliot Schrage's argument in favour of lawyers' involvement in such issues?

9 What action does Jeffrey Kindler think companies must take in respect of developing social issues, and why?

Company lawyers get a wider role in business

by Sarah Murray



A As an in-house legal adviser, Roberta Schuhalter Karp used to feel she had to justify her presence at corporate social responsibility meetings to her colleagues. 'I would say: "I'm not wearing my legal hat now – I just have a broader role within the company",' says the Vice-President of Corporate Affairs and general counsel at Liz Claiborne, the clothing company. 'I haven't had to do that for several years.'

B Ms Karp is not alone in having broadened her role. As corporate liability expands to include issues from breaches of labour practice codes in developing countries to health concerns over weight problems in the West, senior lawyers are regular participants in meetings to discuss them.

C 'Companies have their in-house lawyers with them at the table as part of the team,' says Phillip Rudolph, partner in the corporate social responsibility practice at Foley Hoag, a Washington DC-based law firm. 'Because, depending on the role the lawyer plays and the value they are perceived to add to the management team, they can be strategic-thought leaders.'

D In a recent survey conducted by CMS Cameron McKenna, a UK-based law firm, one-third of senior executives said that while the Chief Executive has overall responsibility for corporate social responsibility, in-house lawyers come second. More than half the respondents said in-house lawyers should take a lead on corporate responsibility.

E In-house lawyers are also busy drafting company codes of conduct, ensuring compliance with regulations and producing documentation to ensure the standards of third-party suppliers meet those of their clients. As well as working on compliance and contract diligence, in-house lawyers are also helping companies take a broader approach to managing social and environmental risks.

F The problem is that these risks are complex and without easy answers, as the experiences of companies in the clothing industry illustrate. Companies such as Liz Claiborne, Gap and Nike are among those that have been targeted by anti-sweatshop campaigners.

G 'Corporate lawyers may not have all the skill sets required to assess social and environmental issues affecting companies, which is why CSR should be considered by a wider group of personnel,' says Bill Carr, partner at CMS Cameron McKenna.

H At the same time, because of their training and experience, lawyers can bring a more objective perspective to ethical issues than others in the management team.

I A lawyer and business strategist who was formerly Senior Vice-President of Global Affairs at Gap, Elliot Schrage, argues that there is another good reason for getting legal departments involved. He says that legal training leads to rigorous thinking and analysis, which have so far not been a strong point in corporate responsibility and sustainability initiatives.

J Jeffrey Kindler, Vice-Chairman and general counsel at Pfizer, the pharmaceuticals company, believes that the requirements of the law and the demands of society for change in corporate behaviour are no longer separate matters for concern. 'We have to understand, anticipate and respond to these emerging social issues before they become legal issues or crises.'

FT

VOCABULARY

A Word search

Find words or phrases in the article which fit these meanings.

1 'I'm not here in my capacity as a lawyer' (paragraph A)
2 an American expression meaning 'senior legal adviser' (paragraph A)
3 the legal responsibilities of a company (paragraph B)
4 matters, problems (paragraph B)
5 rules of conduct, without the force of law (paragraph B)
6 a law firm, or a specialised part of a law firm (paragraph C)
7 total, covering everything as a whole (paragraph D)
8 writing (usually a preliminary version) (paragraph E)
9 describes people or organisations from outside (paragraph E)
10 checking that contracts meet requirements (paragraph E)
11 a workplace where workers are exploited, working long hours in poor conditions for low pay (paragraph F)
12 a senior member of a law firm (paragraph G)
13 not influenced by personal wishes or feelings (paragraph H)
14 relating to moral, rather than commercial, values (paragraph H)

B Word families

Complete the chart with words from the article.

noun	verb
.....[1]	to breach
.....[2]	to comply
assessment	.....[3]
anticipation	.....[4]
response	.....[5]

C Sentence completion

Use words from Exercise B in the correct form to complete these sentences.

1 It is essential to check that we have fully ..... with the new regulations.
2 The ..... to our survey was better than expected. Over 60% of people contacted gave their opinions.
3 If they do not deliver on time, they will be in ..... of their agreement with us.
4 It's sometimes difficult to ..... how effective a new law is.
5 Don't think only about what we as suppliers want. You must also ..... what they as purchasers might be looking for. That way, we might come to an acceptable agreement.

ILEC D Text completion

Choose the best word to fill the gap from the choices A–D below the extract.

Areas of activity for corporate lawyers

Litigation: .....[1] based on alleged failures to comply with ethical standards.

Codes of conduct: ensuring company compliance with both legal .....[2] and in-house obligations to behave ethically in all business activities.

Contract governance: incorporation of a company's codes of conduct and ethical practices into contracts with third-party suppliers to .....[3] they follow the same ethical standards.

Risk management: identification of potential liabilities that might affect a company's reputation, share price and licence to operate, and .....[4] of advice on how to mitigate such risks.

Board awareness: potential for senior corporate lawyers to bring broader issues of sustainability and corporate responsibility to the attention of the Chief Executive and .....[5] of the board.

FT

	A	B	C	D
1	processes	judges	lawsuits	courts
2	laws	rules	demands	requirements
3	ensure	check	assure	request
4	supply	provision	managing	asking
5	participants	managers	directors	members

E Vocabulary development

Choose the best explanation for each word from the extract in Exercise D.

1 litigation (line 1)
   a) taking legal action in court
   b) written laws

2 alleged (line 2)
   a) proved in court
   b) claimed but not yet proved in court

3 obligations (line 7)
   a) things you must not do
   b) things you must do

4 governance (line 9)
   a) controlling and guiding
   b) preparing and writing

5 to mitigate (lines 21–22)
   a) to eliminate
   b) to reduce

6 sustainability (lines 25–26)
   a) preservation of resources for future generations
   b) maintaining high levels of profitability

OVER TO YOU

1 Explain to a colleague whether, in your country, it is easy to change from being an in-house lawyer to being a private or state lawyer, and vice versa. Which job would you prefer, and why?

2 Find out the main differences between a solicitor and a barrister in the English legal system, then compare their functions with an American attorney. Can they all become in-house lawyers? Present a brief overview to inform someone who is not a legal specialist.

3 Do some research so you can either give a brief presentation (five minutes) or write a short report (300 words) illustrating how a company can demonstrate that it is 'socially responsible'. Use real examples.